Jared Kushner's Albania Headache: Flamingos, Contested Land and Cocaine

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AI Executive Summary

Core Thesis

Jared Kushner’s high-end resort development project in Albania has devolved from a luxury real estate venture into an international crisis involving political instability and corruption allegations; following initial planning stages during the Trump administration, Kushner secured significant land rights through connections with Albanian Prime Minister Edi Rama but faced immediate backlash for purchasing property on Svernets Peninsula from Arthur Shayhu—a man now accused by authorities of leading drug smuggling rings. The project has ignited mass "Flamingo Revolution" protests calling for political change and threatened Albania’s EU bid, yet Kushner continues to pursue the plan despite over $200 million already invested in a development described as a financial disaster due to environmental protections violations and legal controversies surrounding land ownership.

Key Arguments & Data

- **Project Scope:** Involves developing five-star resorts on Cezanne Island (long-term lease) and Svernets Peninsula; plans include "White Lotus style" villas with glass facades, giant green roofs, and a lagoon designed to attract the yachting crowd.
- **Financials:** Kushner's firm oversees $6 billion in private equity separately; total investment for this specific Albania project is over $200 million. A specific land purchase deal from Arthur Shayhu was described as nine-figure (over 120 million paid/frozen).
- **Political Connection:** Kushner secured guarantees and initial rights through friendship with Edi Rama, citing political stature gained during the First Trump Administration despite Prime Minister Rama publicly downplaying ties to "currying favor." The partnership reportedly involved a meeting in Davos.
- **Land & Legal Controversy (Svernets):** Arthur Shayhu is alleged by Albanian prosecutors to play a lead role in an international drug

smuggling network transporting cocaine from Ecuador via European ports; funds paid to him regarding the peninsula land have been frozen by court order pending charges against her husband and his associates.

- **Environmental Conflict:** 2019-legal protections for Svernets were removed with a new law in April 2024 allowing development only if facilities are five-star or above (specifically hotels/resorts). Work began to fence the peninsula, leading villagers to accuse Kushner of ignoring environmental norms.
- **Protest Impact:** The "Flamingo Revolution" mobilized tens of thousands in spring protests across Albania and spread to other European cities; demonstrators chant "Albania is not for sale." Viral footage includes a security guard punching and dragging a protesting villager, prompting the Albanian government's Prime Minister Rama to face calls to resign.
- **EU Relations:** The EU has indicated that new laws allowing development in protected areas threaten Albania’s membership bid; the project jeopardizes Kosovo-Albania political stability and regional relations with Western nations.

Actionable Takeaways

- **Assess Geopolitical Risk Before Investment:** Investors should treat high-profile real estate deals involving foreign governments as high-risk unless due diligence has been completed on land sellers' legal standing, especially in post-communist jurisdictions where property records remain chaotic ("a half-mass").
- **Monitor Regulatory Changes Related to Environment:** Projects targeting protected areas (e.g., bird nesting grounds) risk triggering mass civil unrest and EU non-compliance penalties; developers must anticipate that environmental protections may not disappear unless they meet strict luxury criteria.
- **Verify Land Title Through Independent Channels:** Buyers should seek independent legal verification of land claims rather than relying solely on government records or local intermediaries, as seen in the dispute over forgery involving an Ottoman document where falsity was later proven by Albanian High Court ruling but not reversed for Kushner's group immediately.

- **Anticipate Social Consequences:** Development projects perceived to benefit wealthy elites at the cost of public lands (e.g., "Albania is not for sale") can trigger political movements that threaten local governance and international trade relationships; consider this when evaluating property rights in unstable democracies.

Full Transcript

Soon after the end of the first Trump administration, Jared Kushner and Ivanka Trump went on a Mediterranean vacation. We were on our friend Nat Rothschild's boat. Later, at an investment conference, Kushner described the scene. We got picked up in Montenegro, and then we started sailing over to Corfu, and we spent a couple days in Albania. While sailing along the coast of Albania, the couple encountered an island called Cezanne. It's an unbelievable, beautiful, 1,400-hectare private island in the middle of the Mediterranean. On a podcast, Ivanka Trump talked about the island as though it were an undiscovered Eden. And we stopped for a swim. Effectively, that's how we found it. We swam to the islands. We went on a hike barefoot all the way up to the top, and we were just captivated. The country just had incredible natural beauty, but it seemed like a place that nobody knew or understood. What emerges from this initial visit and these initial conversations is this really large plan to build a series of very high-end resorts and villas. Our colleague Elliot Brown has been reporting on the story of this development project for two years. And so then Jared and his partners come with this idea of just taking this cannon of money and putting it into this line of coast and making it a huge destination for the yachting crowd. So Jared Kushner and Ivanka Trump, they have this grand vision. Fast forward to today. How is it going? It has turned into this total quagmire.

Since the resort development was first proposed, the project has triggered one controversy after another. It's led to calls for the Albanian Prime Minister to resign. It's thrown a wrench in Albania's attempt to join the European Union. And it's sparked a protest movement that's spread beyond Albania's borders. It has been dubbed the Flamingo Revolution and over the weekend tens of thousands of Albanians once again joined huge anti-government protests. What has Kushner said about this? Personally, he's stayed mom. And his representatives have said, basically, we respect the right of people to protest. We think we have a good project. And that's not all. Earlier this year, Kushner and his partners struck a nine-figure deal to buy land as part of the development project. About two months later, the man who sold them the land was charged by Albanian prosecutors for

allegedly playing a lead role in a sweeping international drug smuggling operation. The land seller's lawyer said that his client wasn't involved in any of the alleged crimes. Jared Kushner tried to get ahead of the curve by investing in the Balkans, and it has exploded in his face. And it has turned into a complete mess. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza.

It's Tuesday, August 11th. Coming up on the show, Jared Kushner's misadventures in Albania. Before he joined the first Trump administration, Jared Kushner worked in real estate in New York City. Once Trump took office, his son-in-law served as senior advisor to the president. Kushner's remit was sprawling, but one of his big priorities focused on peace in the Middle East. After Trump's term ended, Kushner started a private equity firm. leveraging relationships he cultivated with Persian Gulf monarchies. Eventually, Kushner's firm came to oversee six billion dollars. Separately, Kushner has also returned to his real estate roots, mainly through his Albania project. What was so appealing about Albania, you know, besides it being so beautiful and seemingly untouched? Yeah, I think part of the opportunity he saw is that there really was very little investment. And yet, There was a burgeoning tourist scene because sort of what's happened in Europe in the same way that happened to a place like Croatia 15, 20 years ago is people kind of realized, oh my God, it's beautiful and it's really cheap. While on that yacht vacation back in 2021, Jared Kushner and Ivanka Trump had a special guest aboard for dinner, the Albanian Prime Minister, Eddie Rama.

Kushner was impressed with Rama, and they developed a friendship. Less than a year later, Kushner again met with Rama at Davos. And said, I'm interested in developing in Albania. And ultimately, what happened is he got an agreement from the government to the rights to develop on the island of Cezanne, where they would long-term lease, essentially give control of the island to Kushner. It's not finalized. But that was the plan where then he would develop a five-star white lotus style resort on this island. So Kushner was able to secure the guarantees he needed to develop in Cezanne through Rama. How did he do that? Did his connections to the Trump family help at all? It's undeniable that his raised political stature that came from being part of the Trump family and in the first Trump administration sort of led him

there and got him a meeting with Eddie Rama and got him the sort of respect he did because before the Trump administration, Jared was just a U.S. real estate guy. Prime Minister Rama says that the Cezanne deal has nothing to do with currying favor with President Trump and that the development is part of his vision of cultivating tourism to help fuel the Albanian economy.

Cezanne Island was only part of the project, though. Kushner also had his eye on a pristine peninsula just across the water on the mainland. It's called Svernets. But Svernets had environmental protections limiting development. The area is an important nesting and feeding ground for migratory birds, including wild flamingos. In 2024, the Albanian government changed the law. Development would now be allowed in environmentally protected areas but only for hotels and resorts that are five stars or above. A few weeks after the law changed, Kushner posted renderings of his planned development on social media. The images show luxury villas on Cezanne Island. They undulate along the hills with all glass facades that overlook the sea. And then in Zvernetz, the peninsula, what you see is these really large hotels that sort of step up from the beach and have these giant green roofs and swimming pools and a sparkling lagoon. Unlike Cezanne Island, which is a former military outpost, Zernetz is privately owned. On the peninsula is a small village where families have lived for generations. Kushner and his partners needed to approach these locals in order to buy the land. They start negotiating with the local landowners.

It doesn't take too much to figure out that one of the large landowners in the area is a man named Arthur Shayhu. Who is Arthur Shayhu? What's his background? I'll start by saying we don't know an enormous amount about his early midlife and what we do know is largely from prosecutors and law enforcement. Shayhu was an entrepreneur who attracted attention from law enforcement in the 1990s. A former Albanian state police officer told Elliot that Shayhu was suspected of having connections to the Italian mafia. He was investigated for trafficking marijuana and illegally smuggling Albanians into Italy. Shayhu's lawyer says the investigations were politically motivated. What one of these police officers told us was that one day they get a call about some shots fired at a bar, go there, and they discover that Arthur Shayhu has been in a gunfight with what they thought

was a rival gang. And then after that, as the officer put it, Shayhu disappeared. So he flees. He goes eventually to the U.S. He gets asylum and sort of sets up shop in Miami. According to his lawyer, Shayhu ultimately secured U.S. citizenship.

Property records show that he now owns a 4,000-square-foot home in Miami Beach on a street named Flamingo Drive. From the U.S., Shehu kept a foot in his native Albania, growing a real estate portfolio that includes land and sphernets. But land ownership there can be tricky. Real estate in Albania is just an absolute mess and a half, and that all stems back to communism when the government sees the land, and then after communism, They were like, oh, let's give it back to everyone, which seems easy. But then it's like, well, who do you give it back to? And so they have a series of overlapping laws. And, you know, if you farmed some land during communism, you have one set of rights to it. If your family owned it, you know, earlier than you have another set of rights to it. That was just the kind of dispute that Shayhu was embroiled in in Zvernetz. One land claimant says that Shayhu stole the property using forged documents.

he used a translation of a Ottoman Turkish document from the Ottoman era of the early 1900s. And what happened there was that a local official who was a translator had taken a document that talked about the Zvernetz land and it says it was owned by XYZ. And they sub-doubt XYZ and wrote Shehu. Wow. And then the property office says, looks good to us. And then Shayhu gets the deed. According to one ruling from Albania's High Court, quote, the falsity of this document has been proven. Shayhu's lawyer said that his client's claims were based on substantial documentation that showed his family was a large landowner in Svernets and elsewhere. Numerous locals have challenged Shayhu's property claims through the courts, but none of those cases have forced Shayhu to relinquish the Svernets land.

Retrials and appeals are still snaking through the system. In 2024, villagers sent Kushner a letter saying that the land is, quote, owned by the village and its residents. The villagers didn't get a response from Kushner or his partners. A spokesperson for the development group said, quote, we continue to believe the underlying land acquisitions were conducted

lawfully. In April, Kushner's group paid Shayhu over 120 million for the land in Svernets. Where is that money now? So the money is, according to the Albanian prosecutors, it's frozen, actually. So it was sent toward Shayhu, but then the Albanian prosecutors filed charges. They got a judge to approve an order, and the judge froze the money. Now, because of Shayhu, the Albania project is colored by allegations that have nothing to do with flamingos, and everything to do with cocaine. That's after the break. Kushner's Albania project is largely run by his partners, who include a U.S.-based developer and a Qatari conglomerate. In April of this year, the group bought the land in Svernets from Arter Shehu. By June, a court had approved an order to arrest him. The charges are that Arter Shehu played a leading role in a large-scale European drug smuggling operation. What is peeled back in these Albanian court files is this really sophisticated network. According to law enforcement, the operation spanned the globe, starting with cocaine in Ecuador. They smuggle it in ships across the Atlantic, putting it in shipments of fruit paste and charcoal.

chemists can then extract the cocaine later. So then it goes to northern European ports where Albanians are allegedly involved. And then there are processing plants within Europe and they make bricks of cocaine. And then it is distributed on the streets. And then a key part of that is you generate all this cash and cryptocurrency or whatever. And then you need to get it into a legitimate banking system. Prosecutors allege that Shehu laundered money through property. including the peninsula in Svernets. Shea, whose lawyer said he was only involved in legitimate real estate deals and had no involvement in the alleged drug ring. A spokesperson for Kushner's group said that they're aware of the allegations regarding the land seller and the group itself is not the subject of any investigation. In the spring, after the developers secured the deed to the land, locals noticed that work had begun on Svernets.

They put up a really large construction fence at either end of the peninsula, and they put spools of razor wire around it, like the type you'd see at a border. And when we asked, what are they doing? They said, oh, well, we needed to protect some of the environment in there. And so local villagers are very upset by this. And they go there to protest. This protest was caught on video. At one point, a hired security guard punches a protesting villager

in the throat. Then he drags him with another security guard across the beach sort of very roughly. One of Kushner's partners in the project described the video as, quote, horrific. He said it was a bad decision to put up the fence, which he attributed to an unnamed third-party contractor. In Albania, the protest video went viral. It really, I think, hit this nerve where people are very upset about kind of what they see as rampant development and the country giving away itself to developers. They're concerned about corruption. And so people start pouring into the streets of Toronto, the country's capital.

And then day after day, in the spring, it just gets bigger and bigger. And people call it the Flamingo Revolution. The Flamingo Revolution. Now a rallying cry against the political elite. Because I want to see a total change of the system. And how big have these protests been? We talked to somebody who described them as the most significant since the fall of communism. The main rallying call or a main rallying call has been Albania is not for sale. Even the pop star Dua Lipa, who has Albanian roots, joined the calls for change. I have to say, I find it so inspiring to see how much people really care, you know, day after day, they're like hitting the streets. The Flamingo Revolution protests have spread to other European cities. And now the Albanian government is reeling. There have been demands for Rama to resign. But in almost daily media appearances, the Prime Minister has vowed to press ahead.

At the same time, the European Union has indicated that the law allowing development in protected areas could threaten Albania's bid for membership. The country has been seeking to join the EU for over a decade. So, Elliot, we're seeing all these protests and Krishna now seems to have bought contested land from a man accused of ties to organized crime. I mean, is there some buyer's remorse here? One of the reasons that people have avoided Albania And the rest of the Balkans is because it's known for corruption. And when I first started looking at this, I was like, oh, that's interesting. I wonder if there's some complexity in the steel. And it has become so much less hygienic and more complex and more of a dumpster fire than I thought possible. I mean, despite this pretty epic, you called it a quagmire, Kushner is still continuing with his plan for these resorts. So basically, this has become a huge disaster for the Kushner and his partners,

but they've invested a ton of money. We understand that it's over 200 million total and that's a huge amount of money to just walk away from. You know, you're really expecting that you're going to be able to build something valuable there and you don't want to leave that. And I think one thing Jared has made clear to a lot of people is that he's relatively callous to criticism. I think he knows that in real estate, wherever you build, you're going to get critics. And in government, he learned anything he did was going to get criticism. And I think that that's given him a tough skin. So the luxury resort development continues. Until further notice, yes. That's all for today, Tuesday, August 11th. The Journal is a co-production of Spotify and the Wall Street Journal.

Additional reporting in this episode from Deborah Acosta and Vladimir Karay. Thanks for listening. See you tomorrow.